

helping diversify credit flows across both retail and infrastructure sectors. A broader investor base is transforming India's equity and debt markets. Greater liquidity and deeper participation enable more flexible capital formation, improving market resilience and capacity to support corporate innovation.

Historically, Indian leveraged buyouts depended heavily on offshore lenders, NBFCs, or private credit funds due to RBI restrictions. By opening the door for banks to fund acquisitions and easing lending against listed debt, the RBI is rerouting deal financing into the regulated banking system.

EVOLVING M&A FUNDING DYNAMICS IN INDIA

India's merger and acquisitions (M&A) market is expanding rapidly, mainly driven by a maturing capital market, sector consolidation and stronger investor confidence.

The financing strategy is the principal lever in M&As. One of the funding options is listed equity, where acquirers use their own shares for consideration. This preserves cash and provides tax efficiency but introduces dilution risk and greater exposure to valuation fluctuations while requiring adherence to the Securities and Exchange Board of India (Sebi) norms. The other is assuming the seller's existing debt, commonly used in distressed deals, which enables acquirers to preserve equity and benefit from tax-deductible interest. However, this method demands rigorous diligence to uncover hidden liabilities and ensure compliance with RBI and Foreign Exchange Management Act (FEMA) guidelines.

Other methods include high-yield debt, including private credit, mezzanine financing, and non-



convertible debentures. These have expanded rapidly, driven by attractive returns, earlier banking constraints, stronger creditor rights under the Insolvency and Bankruptcy Code, and favourable tax changes. These instruments provide flexible, non-dilutive capital, though at the expense of higher costs and more stringent compliance requirements.

In leveraged buyouts, a significant share of the purchase value

is financed using debt, secured against the target's assets and cash flows. This structure allows large acquisitions with limited equity and provides tax benefits, but increases financial risk and demands stronger post-acquisition governance.

In cash and earnout structures, a portion of the consideration is paid upfront, and the remainder is tied to performance milestones. This helps bridge

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